

VENDORA BUSINESS SCHOOL

Money, Costs and Growth

Course 01 - From NGN 0 to NGN 50M/month on your real prices

A practical course for the Vendora founder: the money ladder with worked math, cost efficiency down to the last naira, pricing that sells itself, and the marketing playbook for Nigerian sellers - plus your launch-week checklist.

How to use this course

Read one chapter a day. Do every homework box before the next chapter. Bring real numbers - guesses beat blanks.

Chapter 1 - The Money Ladder

Your prices: Pro NGN 7,499/mo (NGN 69,999/yr) - Plus NGN 14,999/mo (NGN 120,000/yr). Free plan pays NGN 0. Every rung below is worked from these numbers. The whole ladder rests on one formula:

Revenue = Paying shops x Price. To grow you have three levers only: MORE shops, HIGHER price, LESS churn. Everything in this course serves one of the three.

Rung 0 to NGN 500k/month - "Prove it"

The math: $\text{NGN } 500,000 / \text{NGN } 7,499 = \text{about } 67$ paying shops. Or a mix: 40 Pro monthly (NGN 300k) + 13 Plus monthly (NGN 195k) = NGN 495k. Sixty-seven shops out of millions of Nigerian sellers.

- . Costs: ~\$30/mo infra (paid Render so the server never sleeps, managed Postgres, one domain). AI still mostly free-tier keys. Profit: ~95%.
- . What breaks: nothing structural - but uploads wipe on redeploy, and emails land in spam without a domain.
- . Your job: NOT features. Talking to sellers. 10 WhatsApp statuses + 3 market visits + referrals = 67 shops. Every shop you onboard personally teaches you what to build next.

Rung NGN 500k to NGN 5M/month - "Systemize it"

The math: NGN 5M at a blended ~NGN 9,000/shop = about 550 paying shops. Yearly plans start compounding - cash paid upfront becomes your growth fuel.

- . Costs: AI is now your biggest bill, not servers. Budget ~NGN 1,500/mo per active shop (AI + email + hosting ~ NGN 825k total). Margin: ~80%. Guard it with caps.
- . What breaks: free-tier abuse (one viral free shop eating shared AI quota), support load (you + one part-time human), outages you hear about from users.
- . Your job: monitoring, AI routing by tier, cron jobs running themselves, first support hire.

Rung NGN 5M to NGN 50M/month - "Scale it"

The math: about 5,000 paying shops - under 0.1% of Nigerian SMBs. Entirely realistic. Costs: infra NGN 3-5M/mo (instances, Redis, replicas, team of ~5). Margin stays 85%+ because each new shop costs almost nothing extra. Your job changes: you stop coding daily and manage acquisition cost, churn, and team.

Chapter 2 - Cost Efficiency

2.1 Unit economics: the only two numbers that matter

CAC (Customer Acquisition Cost)

Total marketing naira divided by new paying shops. Spend NGN 50k on promos, gain 25 payers: CAC = NGN 2,000.

LTV (Lifetime Value)

Price x average months they stay. Pro at NGN 7,499 staying 8 months = NGN 59,992 LTV.

Golden rule: LTV must be at least 3x CAC. NGN 60k vs NGN 2k = 30x. You are safe - which means you can afford to spend MORE to grow faster. Most founders starve growth by under-spending here.

2.2 Your cost stack, biggest first

Cost	Share	Control
AI inference	~60% at scale	Caps, short prompts, reply cache (30-50% cut), cheapest models for free users
Hosting	~20%	One paid instance handles hundreds; upgrade on monitoring signal only
Email + payments	~10%	Domain + paid sender at ~1,000 shops; gateway fees priced in
Everything else	~10%	Domains, tooling, data

2.3 Why the free plan makes you rich

Free looks like a cost - it is actually your sales team: every free shop's customers SEE the bot working at 2am. Even 5% free-to-paid

conversion beats
most SaaS. Rules:
free must be USEFUL
(replies work!) but
CAPPED (50/day, no
photos) so success
creates upgrade
hunger. Never let free
cost more than ~NGN
500/shop/mo - your
caps enforce this.

2.4 The trial is a machine, not a gift

Seven days is
calibrated: long
enough to feel
2am sales, short
enough that
losing Pro still
stings. Your trial-
ending bells and
"trial ended"
notice are
conversion copy -
treat them as
your best
salesperson, and
measure trial-to-
paid % weekly.

Chapter 3 - Pricing and Packaging

3.1 Your three tiers are textbook - here is why

- . Free (NGN 0): the hook. Removes all risk of trying.
- . Pro (NGN 7,499): the compromise choice. Priced below ONE lost sale - a NGN 45k gown lost at midnight pays 6 months of Pro. SAY this in marketing.
- . Plus (NGN 14,999): the anchor + upsell. Voice + heavy models for power users; its real job is making Pro look reasonable.
- . Yearly (22-33% off): cash upfront + churn killer. A yearly buyer cannot leave for 12 months. Push yearly every December-January.

3.2 Churn - the silent killer

Losing 10% of payers monthly means replacing your whole base yearly just to stand still. Fight it with: yearly plans, catalog lock-in (their products live in you - leaving hurts), winback emails (built!), and failed-payment recovery: the "payment failed" bell plus 3 retries saves ~20% of would-be churn.

3.3 Expansion revenue - the million-dollar secret

Do not just add shops - grow each shop's bill: Free to Pro to Plus is worth 3x with ZERO acquisition cost. Future levers: extra WhatsApp numbers per shop, seasonal pushes, team seats. Track revenue per shop monthly - if it climbs, you are winning without new customers.

Chapter 4 - Marketing Playbook

Forget billboards. Your funnel, cheapest first:

Channel 1 - WhatsApp status + broadcasts (NGN 0)

You + every happy user posting "my bot sold while I slept" screenshots. Add an in-app "share your win" prompt. Target CAC: NGN 0-500.

Channel 2 - Referrals (NGN 0 + goodwill)

"Mention the shop that referred you" + one free Pro month for both sides. Run your referral broadcast monthly.

Channel 3 - Market clusters (time, not money)

Onboard ONE respected trader per market; her neighbours copy her. 10 markets x 10 shops = your first NGN 750k MRR.

Channel 4 - TikTok and Instagram demos (NGN 0-5k)

Screen-record the 2am sale. "POV: customer at midnight" videos sell themselves. Post 3x weekly.

Channel 5 - Paid ads (last, not first)

Only after CAC/LTV is proven. Start NGN 20k tests, kill losers in 3 days, scale winners 2x weekly.

Funnel math (worked example)

1,000 status views -> 100 curious -> 30 signups -> 20 finish the quiz -> 5 trial actives -> 2 payers. Per-stage conversion of 10-30% is normal. If any stage halves that, THAT stage is your bottleneck - fix the stage, not the whole funnel.

Chapter 5 - Launch-Week Checklist

Do these in order. Nothing else ships until the row above is ticked.

Task	Owner	Done
Domain bought + DNS live	You	☐
Domain verified in Resend (or Gmail SMTP live)	You	☐
Render env audit (keys, PUBLIC_BASE_URL, ADMIN_PASSWORD)	You	☐
Quota Pro cards live (web + mobile + bell)	Build	☐
Web push subscribed (VAPID keys set)	Build	☐
Cloudinary uploads (photos survive redeploys)	Build	☐
Uptime + error alerts (know before users)	Build	☐
First 100 shops sprint (status + 3 markets)	You	☐
Referral broadcast sent	You	☐

Homework (before Course 02)

- . 1. Write down YOUR current CAC and LTV (guesses beat blanks).
- . 2. Get 5 sellers on a call; ask "what would make you pay NGN 7,499?" - write exact quotes.
- . 3. Pick Course 02: A) pricing experiments, B) referral engine mechanics, or C) churn defense.

**End of Course
01 - now go sell.**

